

Multiple Choice

1. **Answer:** D

Options: A) A monopoly is a company that has no control over the market.; B) A monopoly is a government-run entity that controls all aspects of a market.; C) A monopoly is a business that can set its own prices.; D) A monopoly is a firm which is the sole producer of a good.; E) A monopoly is a market structure with only two firms competing against each other.

Note: Correct option: D - A monopoly is a firm which is the sole producer of a good.

2. **Answer:** A

Options: A) maximization of the firm's value; B) minimization of costs; C) maximization of market share; D) minimization of environmental impact; E) maximization of social welfare

Note: Correct option: A - maximization of the firm's value

3. **Answer:** A

Options: A) the proportion of the good of the consumer's budget is high.; B) the number of substitute products is limited.; C) the product is unique and has no substitutes.; D) the consumer has a high income.; E) the period of time to respond to a price change is short.

Note: Correct option: A - the proportion of the good of the consumer's budget is high.

4. **Answer:** A

Options: A) Unemployment; B) Overproduction of goods and services; C) Bankruptcy; D) Reduced consumer spending; E) Decreased interest rates

Note: Correct option: A - Unemployment

5. **Answer:** E

Options: A) this will increase the supply of the product.; B) this will cause the producer to decrease the supply of the product.; C) this will not affect the demand for the product now or later.; D) this will decrease the supply of the product.; E) this will increase the demand for the product.

Note: Correct option: E - this will increase the demand for the product.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

7. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'The final model may lack theoretical interpretation'.
8. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
9. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'output must have increased proportionally more than population.'
10. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'Allocative efficiency is improved.'

Long Form Response

11. **Answer:** In capitalist economies, prices are set by international regulatory bodies, while centrally planned economies allow for individual negotiation of prices.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.
12. **Answer:** Evolutionary rather than revolutionary, government ownership and direction of key industries, extensive government planning of land use and housing, a nationalized health service, heavy redistributive income and estate taxes, and a great proliferation of social welfare agencies.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key